

Board of Directors Package

Crestview Coffee Roasters — Q4 2023

Board Meeting: February 6, 2024 | Confidential — Board Use Only

Date	February 6, 2024
Location	Atlas Crossing Partners, 2 Embarcadero Center, Suite 1800, San Francisco, CA 94111
Board Members	S. Chen, M. Tang (Atlas Crossing); A. Barrow (CEO); D. Frost, L. Kim (Independent)
Management	A. Barrow (CEO); K. Williams (CFO); T. Wu (CMO); R. Flores (COO)
Deal Team	S. Chen (Partner), M. Tang (MD), J. Mendez (VP), K. Patel (Associate)

Agenda

1. Call to order and quorum confirmation
2. Approval of prior meeting minutes
3. Executive Summary and highlights
4. Financial performance review
5. Operational KPI update
6. Strategic initiatives status
7. Risk review
8. Next quarter outlook
9. Other business / adjourn

Executive Summary

Crestview Coffee Roasters delivered Q4 2023 revenue of \$124.0M and EBITDA of \$18.8M (15.2% margin), ahead of budget by 3.1%. The IC has approved beginning exit preparation, targeting a sell-side process in H2 2025.

Financial Performance

Metric	Q4 2023 Actual	Budget	Var. to Bud.	Prior Year Qtr	YoY
Revenue	\$124.0M	\$120.3M	+3.1%	\$113.8M	+9.0%
Gross Profit	\$57.0M	—	—	—	—
Gross Margin %	46.0%	—	—	—	—
EBITDA	\$18.8M	\$17.9M	+5.0%	\$16.8M	+11.9%
EBITDA Margin %	15.2%	—	—	—	—
D&A	(\$2.4M)	—	—	—	—
EBIT	\$16.4M	—	—	—	—
Interest	(\$6.1M)	—	—	—	—
Net Leverage	4.7x	—	—	Entry: 5.9x	—
LTM EBITDA	\$68.8M	—	—	Entry: \$36.5M	—

Operational KPIs

KPI	Current Quarter	Entry Baseline	Target
DTC % of Revenue	36.7	22.0	Target: 44.0
Subscription Customers	94,666.7	48,000.0	Target: 118,000.0
Roasting Facilities	5.0	3.0	Target: 5.0
Avg. Order Value (\$)	77.3	68.0	Target: 82.0

Strategic Initiatives

Initiative	Status	Detail
Retail channel pilot	Launched	Whole Foods 320 stores live; Target pilot conversation in progress
ESG / B-Corp certification	In progress	B-Corp assessment complete; certification expected Q2 2023
Exit preparation scoping	IC approved	IC approved H2 2025 exit target; banker shortlist being prepared
Subscription: international	Scaling	Canada 14K subs; UK pilot live with 2,100 subscribers

Key Risks & Mitigation

Risk	Severity	Mitigation
Retail margin dilution	Medium	Retail GM ~8ppts below DTC; managed via premium SKU mix
Exit market timing	Low	Consumer brand M&A market active; strategic buyers engaged
International scaling	Medium	UK logistics complexity higher than Canada; addressing with 3PL partner

Next Quarter Outlook

Q1 Q1 2024 expected \$123.1M. Target retail pilot conversation progressing. Houlihan Lokey engagement target Q1 2024.

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